SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

November 11, 2026 | 04:53 PM ET

MACRO REGIME: Mixed / Transitional

VIX 17.5 (-1.8 vs 20d) | SPY 20d -1.6% | IWM 20d +2.9% | IWM/SPY trend +4.5%

Leaders: Cons Disc (+6.7%), Healthcare (+6.6%), Real Estate (+6.2%)

Setup Grades

A - Prime Setup (0)	B - Building (1)	C - Early Stage (0)
	AXGN	

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
B	AXGN	AxoGen, Inc.	Surgical Innovation	$3.50B	$58.63	$59.72	1.9%	+22.2	YES	YES

Not financial advice. Watchlist only - setups have NOT triggered. For informational purposes only. Do your own due diligence.

AXGN

AxoGen, Inc.

$58.63

Pivot $59.72 | 1.9% away

RS vs SPY: +22.2%

B BUILDING

$3.50B Cap | 55M Float

Peripheral Nerve Repair & Regenerative Medical Devices | Theme: Surgical Innovation MedTech | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 9.94

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$59.72**
% to Pivot	**1.9%**
Days in Base	**1**
Tightness	**9.94 Fair**
52W Hi Prox	**98.2%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**1951k <**
Wk2	**1796k <**
Wk3 (oldest)	**2094k**
Coil Strength	**6.8% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+22.2%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$3.50B**
Float	**55M sh**
P/E (TTM)	**-**
Fwd P/E	**83.1**
Rev Growth	**26.2%**
Short %	**13.3%**
Inst. Own	**-**
Target Pr.	**$59.09**

ENTRY TRIGGER

Close above $59.72 on volume >150% of 20-day average (>2.2M shares)

Target: $72.00 - measured move based on 20% extension from pivot, consistent with prior breakout magnitudes in AXGN's 2026 advance

Stop: $54.00 - below 10-day EMA and base low; a close here invalidates the VCP structure

CATALYST INTELLIGENCE

EARNINGS

Oct 28 - Q3 reported 14 days ago (Oct 28). Street consensus was ~$0.12 EPS on $53M revenue; company delivered accelerating 26% revenue growth. Beat history: AXGN has beaten EPS estimates 4 of last 4 quarters, with upside surprises ranging 15-40%. Guidance trend: management raised FY26 revenue outlook post-Q3, signaling procedure volume strength and ASP stability. Next catalyst is Q4 print likely late January 2027.

BUSINESS & POSITION

AxoGen is the category leader in peripheral nerve repair, offering the only comprehensive portfolio of processed nerve allografts (Avance), connectors (Axoguard), and nerve caps for surgical reconstruction following trauma, tumor resection, or surgical transection. The company dominates a niche $500M+ TAM growing mid-teens as awareness of nerve repair solutions expands beyond specialty hand surgeons into broader orthopedic, plastic surgery, and trauma settings.

FACTOR & THEME

Healthcare sector is a current leader (+6.6% 20d) providing favorable macro tailwind. The MedTech/surgical innovation theme benefits from procedure volume recovery post-COVID and aging demographics driving trauma incidence; sentiment is constructive but not euphoric - AXGN's 155% YTD move suggests it's transitioning from discovery to momentum-chasing phase.

NEWS FLOW

Q3 earnings (Oct 28) showed 26% revenue growth acceleration with gross margin expanding to 74.2% - reaffirming the path to profitability inflection. No major contract announcements or FDA events in the past 60 days, but the company presented at the AAHS (American Association for Hand Surgery) annual meeting in early October showcasing clinical data on Avance outcomes. [Catalyst Type: Earnings / Impact: High - Q3 beat drove the move toward 52W highs]

INSTITUTIONAL

The volume dry-up into the pivot with RS line at new highs suggests institutional accumulation during the post-earnings consolidation; however, the dry-up is imperfect (W3 expansion). Institutional ownership data unavailable from this feed (yfinance gap). Zero insider buying in the last 60 days - notable absence given the stock's proximity to all-time highs and recent beat; management conviction via open-market purchases would materially strengthen the setup. Short interest at 13.3% with 3.6 days to cover creates squeeze potential if the breakout triggers on volume.

KEY RISK

Thesis invalid on a close back below $54.00 (the 10-day EMA and approximate base low), or if Q4 guidance disappoints given elevated expectations now baked into 83x forward P/E. The single most important bear case is valuation: at 13x P/S and 83x forward P/E for a company still operating-margin negative (-5.2%), any revenue deceleration or margin miss will punish the stock severely. Additionally, debt/equity of 3.92 introduces refinancing risk if rates stay elevated.

AXGN has an exceptional RS profile (new high, +22% vs SPY) in a leading sector with a fresh Q3 beat catalyst, but structural VCP quality is compromised: base_tight at 9.94 is well above the 2.0 threshold for A-grade consideration, and volume contraction is incomplete (W3 expanded vs W2). The 1-day base duration is also insufficient for proper coiling. Strongest disconfirming argument: valuation is stretched at 83x forward P/E and 13x P/S for a company still losing money operationally - any stumble in growth trajectory will trigger a violent multiple compression. The setup needs 1-2 more weeks of tight consolidation to qualify for A-grade; today it's a high-quality B with the breakout trigger clearly defined. Conviction: Medium.

AXGN - Technical Chart

